

25CV06116 6584 Madrid LLC v. County of Santa Barbara

County: santa-barbara

Division: Civil Law & Motion

Department: 3 SB-Anacapa

Hearing date: 2026-08-19

Motion: Demurrer to Second Amended Petition and Complaint

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Tentative Ruling: 6584 Madrid LLC v. County of Santa Barbara

Case Number

25CV06116

Case Type

Civil Law & Motion

Hearing Date / Time

Wed, 08/19/2026 - 10:00

Nature of Proceedings

Demurrer to Second Amended Petition and Complaint

Tentative Ruling

For Petitioner and Plaintiff 6584 Madrid LLC: Richard Jacobs

For Respondent and Defendant County of Santa Barbara: Rachel Van Mullem, Callie Kim, Office of the County Counsel

RULINGS

For the reasons set forth herein, the demurrer of Respondent and Defendant County of Santa Barbara is overruled. County of Santa Barbara shall file and serve its answer to Plaintiff's second amended petition and complaint no later than September 2, 2026.

The Hearing/Trial on Madrid's SAP for; (1) writ of mandate; (2) declaratory and injunctive relief; (3) violations of State Housing laws; and (4) invalidation of Housing Element is set for 6/30/27 at 11:30am in this Department. The MSC is set for 6/4/27 at 8:30am in #5 via Zoom. The next CMC is set for 2/3/27 to address whether there will be an evidentiary hearing and if so, how many days should be reserved, or whether the matter will be decided on hearing briefs and declarations.

Background

As alleged in the second amended petition and complaint (SAP):

On January 26, 2024, Plaintiff and Petitioner 6584 Madrid LLC (Madrid) submitted an application for a project located at 6584 Madrid, Santa Barbara, (the Property) within the unincorporated area of Santa Barbara County (County). (SAP, ¶¶ 58-59.) At the time of submission, County's Housing Element was out of compliance, and the project became a "Builder's Remedy" project. (SAP, ¶¶ 60-61.)

The full planning application for the project was deemed complete on June 20, 2024. (SAP, ¶ 63.) After the application was deemed complete, Plaintiff and County entered into discussions over a California Environmental Quality Act (CEQA, Pub. Resources Code, § 21000 et seq.) exemption. (SAP, ¶ 64.) During those discussions, Public Resources Code Section 21080.66(a) was added to the code, which directly addressed whether the project was CEQA exempt, but the parties disagree as to the application of the section and have reached an impasse. (SAP, ¶¶ 65-66.)

The County has made a final and definitive determination that the project is not exempt from CEQA and, on September 12, 2025, Willow Brown of the County Planning Department communicated the County's position in writing, stating: "Again, we are not delaying your project and have been ready to move forward with CEQA review" and "As discussed, our decision remains that you are not exempt from CEQA." (SAP, ¶ 67.)

The County's September 12, 2025 determination constitutes a final agency action, and the County has exhausted its jurisdiction on the CEQA exemption question and has made unequivocally clear that its refusal to designate the Project as CEQA-exempt is definitive. (SAP, ¶ 68.) No further administrative remedy is available to Plaintiff on this issue and the matter is ripe for judicial review. (Ibid.)

In the alternative, the County's refusal to make a lawful determination of CEQA exemption constitutes a disapproval of the project within the meaning of Government Code sections 65589.5(h)(6)(J)(i) and 65589.5.1. (SAP, ¶ 69.)

The project site is 0.12 acres. (SAP, ¶ 72(a).) The project is located within an urban area as defined by the U.S. Census Bureau's 2020 census. (SAP, ¶ 72(b).) The prior use for the Property was as a car wash which is considered an urban use. (SAP, ¶ 72(c)(ii).) All of the perimeter of the Property adjoins parcels that are developed with urban uses. (SAP, ¶ 72(c)(iii).) All of the area within a one-quarter mile radius of the Property are urban uses. (SAP, ¶ 72(c)(iv).) All four sides of the Property and all of the perimeter are urban uses. (SAP, ¶ 72(c)(v).) The project would not normally be consistent with the applicable general plan, zoning ordinance, and local coastal plan, but in this case it is deemed consistent by operation of law. (SAP, ¶ 72(d).) The project has over one-half of the applicable density set forth in Government Code section 65583.2, subdivision (c)(3)(B). (SAP, ¶ 72(e).) The project is not in the areas set forth in Public Resources Code section 30603, subdivision (a)(1) or (2). (SAP, ¶ 72(f)(i)(2)(b).) The project is within the area claimed by the Santa Barbara Local Coastal Plan. (SAP, ¶ 72(f)(i)(3)(b).) The project is within the coastal zone that is not zoned for multifamily housing, but in this case is deemed consistent by operation of law. (SAP, ¶ 72(f)(i)(5).)

Notwithstanding Madrid's position, County states that the project requires analysis under CEQA. (SAP, ¶ 73.)

On September 29, 2025, Madrid filed its original petition and complaint in this action. On December 19, 2025, before County's demurrer was heard, Madrid filed its first amended petition (FAP) for: (1) writ of mandate; (2) declaratory and injunctive relief; (3) violations of State Housing laws; and (4) invalidation of Housing Element under New Commune DTLA

LLC v. City of Redondo Beach (2025) 115 Cal.App.5th 111.

On January 22, 2026, County filed its demurrer to the FAP. The demurrer was opposed by Madrid. On April 8, 2026, the demurrer was sustained with leave to amend.

On June 1, 2026, Madrid filed its SAP for: (1) writ of mandate; (2) declaratory and injunctive relief; (3) violations of State Housing laws; and (4) invalidation of Housing Element under New Commune DTLA LLC v. City of Redondo Beach (2025) 115 Cal.App.5th 111.

On June 4, 2026, County filed the present demurrer to the SAP. Madrid opposes the demurrer.

Analysis

“ ‘The rules by which the sufficiency of a complaint is tested against a general demurrer are well settled. We not only treat the demurrer as admitting all material facts properly pleaded, but also ‘give the complaint a reasonable interpretation, reading it as a whole and its parts in their context.’ ” (Zhang v. Superior Court (2013) 57 Cal.4th 364, 370, internal quotation marks and citations omitted.)

“[A] Court must treat a demurrer as admitting all material facts properly pleaded, it does not, however, assume the truth of contentions, deductions or conclusions of law.” (Travelers Indem. Co. of Connecticut v. Navigators Specialty Ins. Co. (2021) 70 Cal.App.5th 341, 358, citing Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th 962, 967.)

“To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the Plaintiff’s proof need not be alleged.” (C.A. v. William S. Hart Union High School Dist. (2012) 53 Cal.4th 861, 872.)

Exhaustion of Administrative Remedies

As it did in its demurrer to the FAP, County argues that Madrid still fails to state facts sufficient to constitute its first (writ of mandate) and second (declaratory relief) causes of action because Madrid has failed to exhaust its administrative remedies.

The first cause of action for writ of mandate asserts that the project falls within the CEQA exception in Public Resources Code section 21080.66, that the County refuses to comply with that section, and seeks an order requiring the County to designate the project as CEQA exempt. (SAP, ¶¶ 92-65.)

“The exhaustion of administrative remedies doctrine applies when there is an administrative remedy to questionable government action. It assures certain prerequisites are met before legal action is taken. [Citation.] Where an administrative remedy is provided by statute, relief must first be sought from the administrative body. [Citation.] This is a fundamental rule of procedure ‘followed under the doctrine of stare decisis, and binding upon all Courts.’ [Citation.] A Court’s intervention before an administrative agency has resolved the claim constitutes jurisdictional interference. [Citation.] Courts ‘have no discretion to relax the exhaustion doctrine.’ [Citation.]” (Casa Blanca Beach Estates Owners’ Assn. v. County of Santa Barbara (2024) 102 Cal.App.5th 1303, 1308–1309 (Casa Blanca).)

“A concept distinct from but similar to the exhaustion requirement is that there be a ‘ripe controversy.’ Ripeness looks at whether a controversy is ‘ ‘definite and concrete.’ ” The ripeness doctrine prevents Courts ‘ “from entangling themselves in abstract disagreements over administrative policies,” ’ and protects administrative agencies from “ ‘judicial interference until an administrative decision has been formalized and its effects felt in a concrete way by the challenging parties.’ ” [Citation.]” (Casa Blanca, supra, 102 Cal.App.5th at p. 1309.)

"An administrative decision is final, i.e., ripe, 'when the agency has exhausted its jurisdiction and possesses "no further power to reconsider or rehear the claim." ' [Citation.] 'Until a public agency makes a final decision, the matter is not ripe for judicial review.' [Citations.]" (Casa Blanca, supra, 102 Cal.App.5th at p. 1309.)

"A demurrer may properly be sustained based on the failure to adequately plead exhaustion of administrative remedies. [Citation.] In order to withstand a demurrer for failure to allege exhaustion of available administrative remedies, the Plaintiff must allege facts showing that he did exhaust administrative remedies or facts showing that he was not required to do so." (Tejon Real Estate, LLC v. City of Los Angeles (2014) 223 Cal.App.4th 149, 156.)

Madrid now alleges: "As alleged in the Background and Factual Allegations above, the County has made a final definitive determination that Plaintiff's project is not exempt from CEQA, and has affirmatively refused to designate the project as CEQA-exempt. On September 12, 2025, Willow Brown of the Santa Barbara County Planning Department communicated the County's final decision in writing, expressly stating: 'As discussed, our decision remains that you are not exempt from CEQA.' This constitutes a final administrative determination. Administrative remedies have been exhausted because the County has made an unequivocal final decision from which no further administrative appeal is available, and/or the County's determination constitutes a 'disapproval' as defined in Government Code section 65589.5, subdivision (h)(6)(J)(i), triggering the right to judicial relief under Government Code section 65589.5, subdivision (k)." (SAP, ¶ 94.)

County argues that these allegations constitute legal conclusions that the Court is not required to accept as true. The Court disagrees. The allegations are factual in nature.

"In ruling on a demurrer, it is presumed that all factual averments are true. " 'The Defendant cannot strengthen his demurrer by bringing in evidentiary material which discloses a defect in the (pleading) . . . ' " (5 Witkin, Cal.Procedure (3d ed. 1985) Pleading, § 895, p. 335, emphasis in original.) The sole question raised by demurrer is whether the pleading is facially-not factually-deficient." (People v. Jimenez (1993) 19 Cal.App.4th 1175, 1177, fn. 3.)

At the pleading stage, the allegations are sufficient to overcome demurrer. The demurrer to the first cause of action will be overruled.

Madrid's second cause of action is for declaratory relief on the same grounds as the cause of action for writ of mandate. The demurrer to the second cause of action for declaratory relief will be overruled for the same reasons.

Conditional Use Permit (CUP)

Madrid's third cause of action is for violation of the Housing Accountability Act (HAA, Gov. Code, § 65589.5) by insisting that Madrid "submit to the County's discretion regarding a CUP and pay for the CUP process despite this project being statutorily exempt from zoning." (SAP, ¶ 105.)

"Notwithstanding paragraphs (1) to (5), inclusive, all of the following apply to a housing development project that is a builder's remedy project:

"(A) A local agency may only require the project to comply with the objective, quantifiable, written development standards, conditions, and policies that would have applied to the project had it been proposed on a site with a general plan designation and zoning classification that allow the density and unit type proposed by the applicant. If the local agency has no general plan designation or zoning classification that would have allowed the density and unit type proposed by the applicant, the development proponent may identify any objective, quantifiable, written development standards, conditions, and policies associated with a different general plan designation or zoning classification within that jurisdiction, that facilitate the project's density and unit type, and those shall apply.

“[¶] ... [¶]

“(D) (i) The project shall not be required to apply for, or receive approval of, a general plan amendment, specific plan amendment, rezoning, or other legislative approval.

“(ii) The project shall not be required to apply for, or receive, any approval or permit not generally required of a project of the same type and density proposed by the applicant.

“(iii) Any project that complies with this paragraph shall be deemed consistent, compliant, and in conformity with an applicable plan, program, policy, ordinance, standard, requirement, redevelopment plan and implementing instruments, or other similar provision for all purposes, and shall not be considered or treated as a nonconforming lot, use, or structure for any purpose.” (Gov. Code, § 65589.5, subd. (f)(6)(A), (D).)

In sustaining the demurrer, to the third cause of action of the FAC, the Court noted: “[T]he HAA permits certain types of conditions even with builder’s remedy projects. By contrast, for example, other land use statutes expressly preclude conditional use permits when certain criteria are met. (E.g., Gov. Code, § 65913.4, subd. (a) [“a development proponent may submit an application for a development that is subject to the streamlined, ministerial approval process provided by subdivision (c) and is not subject to a conditional use permit”].) Because Madrid does not allege the scope of the CUP that Madrid asserts the County is requiring and does not allege how the scope of the CUP that may be required violates the limited conditions permitted under the HAA, Madrid does not sufficiently allege facts to show that the County violates the HAA by requiring participation in the CUP application process.”

In response to this observation, Madrid added additional allegations:

“More specifically, the County issued a Determination of Application Inconsistency letter dated July 19, 2024, which described the project as: ‘a request for a minor Conditional Use Permit, Development Plan, and companion Coastal Development Permit to allow demolition of a self-service car wash structure and detached shed and construction of a new eight-story, 30,128-square-foot apartment building with podium deck containing 50 studio residential units.’ Despite Plaintiff’s repeated corrections and objections to the CUP requirement, the County has continued to insist that a Conditional Use Permit will be required as a condition of project approval.” (SAP, ¶ 106.)

“A CUP is a discretionary permit that allows a local agency to impose conditions based on subjective criteria. By requiring a CUP for this Builder’s Remedy project, the County is imposing a discretionary approval process that is not ‘generally required of a project of the same type and density proposed by the applicant’ within the meaning of Government Code section 65589.5(f)(6)(D)(ii). The CUP requirement constitutes an impermissible attempt to reimpose local zoning authority and discretion that state law has removed for Builder’s Remedy projects. Under Government Code section 65589.5, subdivision (f)(6)(D)(iii), this Builder’s Remedy project ‘shall be deemed consistent, compliant, and in conformity with an applicable plan, program, policy, ordinance, standard, requirement, redevelopment plan and implementing instruments, or other similar provision for all purposes and the CUP requirement is directly inconsistent with that mandate.’ (SAP, ¶ 107.)

The allegations are sufficient to withstand demurrer. The demurrer to the third cause of action will be overruled.

Invalidation of Housing Element

Madrid’s fourth cause of action is entitled “Invalidation of Housing Element Under New Commune DTLA LLC v. City of Redondo.”

In ruling on the demurrer to the FAP, the Court noted"

"Madrid alleges that the County's new Housing Element is invalid, but it is unclear from the FAP what is the nature of this claim. County demurs on the grounds of lack of standing, particularly as it relates to a claim for writ of mandate. Madrid asserts it has standing because it owns property within the County, namely, the Property, but makes no effort to explain the nature of this cause of action. The closest cause of action to the allegations appears to be one for declaratory relief. As such, whether Madrid's claim is based in some fashion upon the development project alleged elsewhere in the FAP (see FAP, ¶ 106) or more generally, Madrid fails to allege standing to assert a claim to invalidate the new Housing Element."

The Court further noted:

"Madrid alleges that it is proceeding with its development on the Property on the basis of a builder's remedy, which in turn is based upon the Housing Element being noncomplying when Madrid's development application was complete. (E.g., FAP, ¶ 49.) Because the only alleged development project is alleged not to depend on the new Housing Element, it is irrelevant to the disposition of claims arising out of Madrid's project whether or not the new Housing Element is now compliant. Thus, on the face of the FAP, Madrid has no concrete interest in whether the new Housing Element is compliant. More generally, Madrid makes no other allegations by which any adjudication as to the validity of the new Housing Element would not be advisory."

In response to the Court sustaining the demurrer to the FAP, Madrid additionally alleges:

"Plaintiff 6584 Madrid LLC has standing to bring this cause of action on multiple independent grounds. First, Plaintiff is the owner of real property located within the County of Santa Barbara and has a direct, concrete interest in whether the County's Housing Element is valid. The validity of the Housing Element directly affects Plaintiff's property rights and development opportunities within the County. Property owners within a jurisdiction have standing to challenge the validity of a local government's Housing Element. (See *Martinez v. City of Clovis* (2023) 88 Cal.App.5th 870 [resident and property owner within jurisdiction had standing to challenge adequacy of city's housing element].) As a property owner and housing developer in the County, Plaintiff has a legally cognizable interest in the validity of the County's Housing Element that is concrete, particularized, and directly affected by any adjudication as to that validity." (SAP, ¶ 115.)

"Second, Plaintiff 6584 Madrid LLC is also a housing advocacy organization whose mission includes the promotion of affordable housing development and enforcement of California's housing laws. As a housing organization advocating for the production of affordable housing in Santa Barbara County, Plaintiff has organizational standing to enforce California's Housing Element Law and the Housing Accountability Act. The Housing Accountability Act expressly confers standing on "housing organizations," defined to include organizations whose purpose includes supporting the availability of housing, to bring actions to enforce the HAA. Courts have recognized that housing advocacy organizations have standing to challenge local governments' noncompliance with Housing Element Law. (See *Californians for Homeownership v. City of La Cañada Flintridge* (LA Super. Ct. July 11, 2023, No. 23STCP00699) [housing advocacy organization had standing to challenge city's failure to adopt compliant housing element and to enforce builder's remedy]; see also Gov. Code, § 65589.5(k)(2).)" (SAP, ¶ 116.)

"Plaintiff's interest in the validity of the County's new Housing Element is concrete and justiciable. Although Plaintiff's current project is proceeding as a Builder's Remedy project based on the prior noncompliant Housing Element, the validity of the new Housing Element directly affects Plaintiff's ongoing and future rights as a property owner and housing developer in the County. If the new Housing Element is also invalid under *New Commune DTLA LLC v. City of Redondo Beach* (2025) 115 Cal.App.5th 111, then the County remains subject to Builder's Remedy requirements, which directly affects the County's obligations to Plaintiff and other housing developers. A declaratory judgment as to the validity of the new Housing Element would therefore provide definitive, not advisory, relief." (SAP, ¶ 117.)

"Further, the County has taken the position that the current project submitted is not a Builder's Remedy project. On September 12, 2025, Willow Brown of the Santa Barbara County Planning Department communicated the County's position in writing, stating: "Your project does not comply with the density requirements to be considered a 'builder's remedy' "

project under this definition.' " Therefore, if Plaintiff is forced to resubmit, the question of whether the County of Santa Barbara's new Housing Element is valid will directly affect Plaintiff's project." (SAP, ¶ 118.)

The allegations are sufficient to withstand demurrer, and the demurrer to the fourth cause of action will be overruled.

Requests for Judicial Notice

The County requests that the Court take judicial notice of: (1) Excerpt from the Santa Barbara County Code, Chapter 35, Article II, Coastal Zoning Ordinance; (2) Letter from Director of County of Santa Barbara Planning and Development Department to Melinda Coy of the California Department of Housing and Community Development dated May 9, 2024, regarding the County's adopted 2023-2031 Housing Element Update Rezone Amendments; (3) Adopted Land Use Element Resolution; and (4) Adopted Land Use and Development Code Zoning Map Ordinance Amendment.

Madrid did not file opposition to the request for judicial notice.

Although of limited relevance at the pleading stage, the Court will take judicial notice of the documents.

Judges

Judge Thomas Anderle

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